

M/s Chaudhary Bhoop Singh Cold Storage (P) Ltd. v. State of U.P. and Others

Allahabad High Court · Division Bench · 8 May 2023 · 2023:AHC:98761-DB · Writ - C No. 31970 of 2018 · **Writ petition dismissed for want of prosecution**

HEADNOTE

A cold-storage company challenged a recovery citation dated 14.8.2018 for Rs 39,84,513 plus other charges as arrears for alleged unauthorised use of electricity, contending that the provisional assessment had been made without considering its reply and without a personal hearing under Clause 6.8(b) and (c) of the U.P. Electricity Supply Code, 2005. The licensee said a hearing had been offered, the petitioner never appeared, the final assessment followed Annexure 6.3, and an appeal under Section 127 of the Electricity Act, 2003 was available. On 26.9.2018 the Division Bench recorded that none of the licensee's documents showed a date fixed for personal hearing, listed the writ for affidavits, and stayed coercive action if the petitioner deposited half the demand and furnished security for the rest. After further listings, none appeared for the petitioner even in the revised call on 8.5.2023; the writ was dismissed for want of prosecution. Whether Clause 6.8(b) and (c) had been followed, whether the Section 127 appeal barred the writ, and the correctness of the assessment, were not decided.

FACTUAL SUMMARY

M/s Chaudhary Bhoop Singh Cold Storage (P) Ltd. filed Writ-C No. 31970 of 2018 challenging a recovery citation dated 14 August 2018 demanding Rs 39,84,513 plus other charges as arrears of electricity dues for alleged unauthorised use. The petitioner said the provisional assessment had been made without considering its reply and without a personal hearing required under Clause 6.8(b) and (c) of the U.P. Electricity Supply Code, 2005. Counsel for the Electricity Department, after instructions, produced documents said to show that a provisional assessment had been made, a hearing offered, the petitioner never appeared, and the final assessment followed the formula in Annexure 6.3, with a statutory appeal under Section 127 of the Electricity Act, 2003.

On 26 September 2018 the Division Bench recorded that none of those documents showed a date fixed for personal hearing, called for a counter-affidavit, and stayed coercive action on the citation if the petitioner deposited half the demand and furnished security other than cash or an adequate guarantee for the rest. After listings in November 2018 and March 2023, none appeared for the petitioner even in the revised call on 8 May 2023.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.8(c)

No date of personal hearing shown on the licensee's papers; recovery stayed on half-deposit; later dismissed for want of prosecution

HOLDING

On 26 September 2018 the Court recorded the petitioner's challenge to the 14.8.2018 recovery citation of Rs 39,84,513 plus other charges for alleged unauthorised use, on the ground that the provisional assessment had been made without considering the petitioner's reply and without a personal hearing under Clause 6.8(b) and (c). The licensee said a hearing had been given, the petitioner never appeared, the final assessment followed Annexure 6.3, and a Section 127 appeal was available. From the documents produced, the Court found that none indicated a date ever fixed for personal hearing, held that the matter required consideration, directed a counter-affidavit, and stayed coercive action on the citation till the next listing if the petitioner deposited half the demand and furnished security other than cash or an adequate guarantee for the rest, the deposit to abide the writ. The Court did not quash the assessment or decide Clause 6.8 or Section 127. ¶ 26.9.2018

QUALIFIER

Interlocutory only (26.9.2018, Abhinava Upadhya, J. and Rajiv Gupta, J.).

FLAG Petitioner invoked Clause 6.8(b) and (c); keyed to 6.8(c) because the Court's observation was that no date of personal hearing was shown. Petitioner's Ram Bahadur citation was recorded as requiring compliance with 'Section 6.3' and a hearing; the Court did not construe Clause 6.3 or Annexure 6.3. Licensee relied on Kapil Gupta (Writ Petition No.

31023 of 2014) for a Section 127 appeal. Unnumbered order-sheet: 20.9.2018 and 25.9.2018 are listings; 26.9.2018 is the stay; 2.11.2018 (B. Amit Sthalekar and Rajiv Joshi, JJ.) extended the interim; 24.3.2023 (Manoj Kumar Gupta and Prashant Kumar, JJ.) granted time for rejoinder.

INTERPLAY · OFFTOPIC::dismissal-for-want-of-prosecution

Writ dismissed for want of prosecution when none appeared for the petitioner

HOLDING

On 8 May 2023 none appeared for the petitioner to press the petition even in the revised call. The writ petition was dismissed for want of prosecution. The Court did not decide whether Clause 6.8(b) and (c) had been followed, whether a Section 127 appeal barred the writ, or the correctness of the Rs 39,84,513 assessment and the 14.8.2018 recovery citation. ¶ 8.5.2023

FLAG Neutral citation 2023:AHC:98761-DB is on this disposing order (Manoj Kumar Gupta and Prashant Kumar, JJ.). The order does not expressly vacate the 26.9.2018 stay. Passed in the presence of counsel holding brief for the respondent Corporation.

PRINCIPLE TAGS

writ-petition-dismissed-for-want-of-prosecution-on-non-appearance After a 2018 conditional stay of recovery on a Clause 6.8(b)/(c) no-hearing challenge, none appeared for the petitioner even in the revised call on 8.5.2023; the writ was dismissed for want of prosecution, leaving the assessment and recovery undecided. ¶ 8.5.2023

6.8-procedure-mandatory On 26.9.2018 the Court recorded that none of the licensee's documents showed a date fixed for personal hearing under Clause 6.8(b) and (c) before the final assessment supporting the 14.8.2018 recovery citation, listed the writ for affidavits, and stayed coercive action on half-deposit. The point was never decided after the 8.5.2023 dismissal for want of prosecution. Lead authorities: *Ram Bahadur v. State of U.P.*. ¶ 26.9.2018

alternative-remedy-section-127-appeal The licensee relied on Kapil Gupta to say that against the final assessment the petitioner had a Section 127 appeal. The 26.9.2018 Bench recorded the contention, found a hearing defect on the papers, and listed the writ for consideration rather than relegating; the point was never decided after dismissal for want of prosecution. Lead authorities: *Kapil Gupta v. U.P. Power Corporation Ltd.*. ¶ 26.9.2018

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE PROVISIONAL AND FINAL ASSESSMENTS COMPLIED WITH CLAUSE 6.8(B) AND (C) OF THE U.P. ELECTRICITY SUPPLY CODE, 2005, INCLUDING CONSIDERATION OF THE PETITIONER'S REPLY AND FIXATION OF A DATE OF PERSONAL HEARING

The 26.9.2018 Bench observed that none of the licensee's documents showed a date of hearing and said the matter required consideration; that observation never ripened into a final finding. ¶ 26.9.2018, 8.5.2023

NOT DECIDED — WHETHER THE WRIT WAS BARRED BY THE STATUTORY APPEAL UNDER SECTION 127 OF THE ELECTRICITY ACT, 2003

Licensee's Kapil Gupta contention; recorded, not applied, and left open when the writ was dismissed for want of prosecution. ¶ 26.9.2018

NOT DECIDED — WHETHER RAM BAHADUR REQUIRED COMPLIANCE WITH 'SECTION 6.3' / ANNEXURE 6.3 BEFORE A PROVISIONAL OR FINAL ASSESSMENT, AND WHETHER THE ANNEXURE 6.3 FORMULA WAS CORRECTLY APPLIED

Petitioner cited Ram Bahadur as 2016 (11) ADJ 463 on 'Section 6.3' and hearing; licensee said the formula in Annexure 6.3 had been followed. Neither was construed. ¶ 26.9.2018

NOT DECIDED — CORRECTNESS OR QUANTUM OF THE RS 39,84,513 UNAUTHORISED-USE ASSESSMENT AND VALIDITY OF THE RECOVERY CITATION DATED 14.8.2018

The writ challenged that citation; it was never examined on the merits. ¶ 26.9.2018, 8.5.2023

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ram Bahadur v. State of U.P. and others</i> 2016 (11) ADJ 463 Allahabad High Court	Cited by the petitioner as holding that without compliance with the procedure of 'Section 6.3' and without an opportunity of hearing, no provisional or final assessment could be made; the Court recorded the citation, found no date of hearing on the licensee's papers, and did not apply the decision to quash the assessment.		Petitioner	Relied on
<i>Kapil Gupta v. U.P. Power Corporation Ltd. and another</i> Writ Petition No. 31023 of 2014 Allahabad High Court	Cited by the licensee as holding that against a final assessment the consumer has a remedy by appeal under Section 127 of the Electricity Act, 2003; the Court recorded the citation and did not relegate the writ to that appeal.		Respondent	Relied on

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.